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Board of Education Report

File #: Rep-017-25/26, **Version:** 1**Agenda Date:** 8/26/2025**In Control:** Facilities

Authorization to Execute a Lease Extension With B9 VN Roscoe Owner, LLC for Use of Van Nuys Bus Yard Located at 16200 Roscoe Boulevard, Van Nuys, CA, 91406

Facilities Services Division

Brief Description:

(Authorization to execute a 39-month lease extension with B9 VN Roscoe Owner, LLC (“Landlord”) for Use of the Van Nuys Bus Yard Located at 16200 Roscoe Boulevard, Van Nuys, CA, 91406 (“Van Nuys Bus Yard”)) Recommends that the Board of Education (“Board”) authorize the Chief Facilities Executive and/or her designee(s) to execute a 39-month lease extension for \$9,307,531.17, and any other reasonable instruments for the continued use of the Van Nuys Bus Yard.

Action Proposed:

Authorize the Chief Facilities Executive and/or her designee(s) to execute a lease extension and any other reasonable instruments for the continued use of the Van Nuys Bus Yard for a term beginning September 18, 2025, through November 30, 2028, in the amount of \$9,307, 531.17.

Background:

On September 29, 1999, the Los Angeles Unified School District (“District”) entered into a 20-year lease agreement for the Van Nuys Bus Yard (“Lease”). The facility serves as a dedicated school bus parking lot and an onsite maintenance garage that enables the District to perform routine vehicle maintenance and repairs. The Lease commenced on September 18, 2000, and was originally set to expire on September 17, 2020. In September 2020, the District exercised its option to extend the Lease for an additional five years, with the current term expiring on September 17, 2025.

The District currently stores, maintains, and dispatches approximately 200 school buses at the Van Nuys Bus Yard. The long-term plan is to relocate the buses and maintenance operations currently located at the Van Nuys Bus Yard to 11660 Tuxford Street, Sun Valley (“Tuxford Site”), an approximately seven-acre property the District is currently leasing as a temporary bus yard during construction of the Sun Valley Bus Yard Electrification Project (“Project”), currently anticipated to be completed in the first quarter of 2027. As outlined in a September 27, 2024 informative (attached), the District executed the lease for the Tuxford Site in May 2024 for a period of seven years, with two options to renew for five years each. While the seven-year term exceeded the need for the Project, it aligned with the District's long-term plan of relocating the Van Nuys Bus Yard operations to the Tuxford Site upon completion of the Project, optimizing resource allocation and minimizing concurrent leases.

This proposed lease extension will allow the District continued use of the Van Nuys Bus Yard through November 2028, ensuring that there is no interruption to the District's transportation services. The lease terms negotiated between the District and the Landlord includes a 39-month lease term, which was the minimum duration required by the Landlord, as well as two months of abated rent that was included as part of the negotiations. The proposed lease term extends beyond the Project's anticipated completion to allow for

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potential delays, and for the transition of operations to the Tuxford Site. Any additional costs due to the longer lease term are less than the alternative of identifying and entering into short-term leases at other sites, which would be more expensive due to the cost of site improvements and additional moving costs.

Proposed Lease Agreement Summary

Term	39 months, from September 18, 2025, through November 30, 2028
Total Cost Over Term	\$9,307,531.17
Annual Escalation	Approximately 3.5% per year
Rights to Extend	One option to extend the lease for an additional 36 months at fair market value
Right to Terminate	No early termination rights included

Annual Rent Schedule

Lease Year	Term	Annual Total Rent	Notes
Year 1	Sept. 18, 2025 - Sept. 30, 2026	\$2,565,922.45	Reflects 11 months of rent; October and November 2025 are rent-abated
Year 2	Oct. 1, 2026 - Sept. 30, 2027	\$3,046,515.96	
Year 3	Oct. 1, 2027 - Sept. 30, 2028	\$3,151,674.00	
Year 4	Oct. 1, 2028 - Nov. 30, 2028	\$543,418.76	Partial year (2 months)

The Van Nuys Bus Yard is located within the boundaries of Region North and Board District 3 (Scott Schmerelson).

Expected Outcomes:

Authorize the Chief Facilities Executive and/or her designee(s) to execute the lease extension agreement with Landlord for the continued use of the Van Nuys Bus Yard.

Board Options and Consequences:

If the Board approves this action, staff will execute a lease extension to ensure uninterrupted transportation operations until the transition of the Van Nuys Bus Yard operations to the Tuxford Site. This will allow the District to avoid additional costs to secure temporary facilities and will support key strategic objectives.

If the Board does not approve this action, the lease will expire on September 17, 2025, requiring the District to secure alternative accommodations for approximately 200 school buses. This could result in operational disruptions and increased costs.

Policy Implications:

Advances Pillar 4 (Operational Effectiveness) of the 2022-2026 Strategic Plan by safeguarding core services and enabling the District's- transition to a greener fleet.

Budget Impact:

Total not to exceed cost is \$9,307,531.17 over 39 months to be funded from General Fund TIIPG Rental

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Transportation Program 15134.

Student Impact:

Ensures timely, reliable transportation for daily attendance and extracurricular programs, thereby supporting student achievement and engagement District-wide.

Equity Impact:

Maintains equitable access to safe transportation for students across all Board Districts, including historically underserved communities.

Issues and Analysis:

Extending the Van Nuys Bus Yard Lease is critical to maintaining bus fleet operations during a major capital transition. The facility's existing capacity and location cannot be replicated quickly elsewhere. Approval mitigates operational risk, supports the phased electrification strategy, and protects student access to education.

Attachments:

Exhibit A - Board Informative - Lease of the 11660 Tuxford Street Property - September 27, 2024

Submitted:

07/31/25

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RESPECTFULLY SUBMITTED,


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Superintendent

APPROVED BY:


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Deputy Superintendent,
Business Services and Operations

REVIEWED BY:


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General Counsel

✓ Approved as to form.

APPROVED BY:


KRISZTINA TOKES
Chief Facilities Executive
Facilities Services Division

REVIEWED BY:


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Deputy Chief Financial Officer

✓ Approved as to budget impact statement.

PRESENTED BY:


ISSAM DAHDUL
Director of Facilities
Planning and Development
Facilities Services Division

INTEROFFICE CORRESPONDENCE
Los Angeles Unified School District
Office of the Superintendent

INFORMATIVE

TO: Members, Board of Education

DATE: September 27, 2024

FROM: Alberto M. Carvalho, Superintendent 

SUBJECT: LEASE OF THE 11660 TUXFORD STREET PROPERTY

Executive Summary

The Facilities Services Division has executed a lease for a 6.91-acre site at 11660 Tuxford Street (Tuxford site) to use as a temporary bus yard while the Sun Valley Bus Yard Electrification Project (Project) is under construction. The Tuxford site is located in Sun Valley, approximately two miles north of the District-owned Sun Valley Bus Yard. Once the Project is complete, the District anticipates terminating the existing lease for the Van Nuys Bus Yard and utilizing the Tuxford site for additional bus parking. The lease term is seven years, and the annualized base rent is \$3,069,659 with an annual increase of 4%. The Project, including the lease of the Tuxford site, is funded by Certificates of Participation that were approved by the Board in December 2023. Once the Project is complete, the District anticipates using General Funds for the remainder of the lease term.

Overview

In the fall of 2023, the Facilities Services Division was tasked to lease a property suitable for use as a temporary bus yard while the Project to upgrade the Sun Valley Bus Yard to accommodate electric buses is under construction. The temporary bus yard is required to accommodate a minimum of 140 buses for approximately two years beginning October 2024.

Los Angeles Unified School District (LAUSD) conducted a comprehensive search for a temporary bus yard, identifying three potential sites that met the required criteria. Two sites were eliminated due to contamination issues and market unavailability, respectively. The 6.91-acre Tuxford site in Sun Valley emerged as the only viable option.

The following sites were reviewed but not selected:

- a. 9361 Glenoaks Boulevard, Sun Valley - 6.28 acres

This site was previously used as several separate auto parts salvage yards and would have required environmental mitigation. Additionally, this site was involved in litigation, and the delivery date could not be assured.

- b. 12580 Saticoy Street, North Hollywood - 6.70 acres

This site was initially available for sublease by the current tenant. However, the current tenant decided to continue using the site, and the property was pulled from the market.

The Tuxford site is currently leased by Tesla until the end of this month. It is well located with access to freeways and major arterials, making it an optimal location for the purposes of a bus yard. The site requires tenant improvements, of which \$500,000 will be paid by the landlord and up to \$2,000,000 will be paid for by LAUSD. A description of the improvements is noted in the Business Term Summary below. Due to the capital commitments required from both parties, the landlord required a minimum seven-year lease term.

While the seven-year term exceeds the immediate need for the Sun Valley Bus Yard construction, it aligns with the District's long-term plans. The Van Nuys Bus Yard lease, currently costing \$2,500,000 annually, expires in 2025. LAUSD intends to relocate Van Nuys operations to the Tuxford site upon completion of the Sun Valley improvements, optimizing resource allocation and avoiding concurrent leases.

Business Term Summary

The major terms of the Tuxford site lease agreement, which was executed on May 26, 2024, are as follows:

Landlord:	Epicenter Tuxford LLC
Tenant:	LAUSD
Location:	11660 Tuxford Street, Sun Valley, CA 91352
Size:	Approximately 300,000 square feet (6.91 acres) consisting of: “Building A” – approximately 20,700 square feet “Building B” and Spray Booth – approximately 51,900 square feet
Zoning:	M1 Limited Industrial Zone (Allows buses)
Use:	Storage, parking, maintenance, repair, fueling, charging, etc. for LAUSD buses. Any other use allowed under existing zoning.
Term:	84 months (seven years) with two options to renew for five years each
Begins:	The earlier of substantial completion of Landlord Work <u>or</u> February 1, 2025 (the “Lease Commencement Date”)
Early Access:	Yes, subject to certain conditions satisfied before early access
Rent Commences:	On the Lease Commencement Date

Base Rent:

<u>Months of Term</u>	<u>Monthly Installment of Base Rent</u>	<u>Annualized Base Rent</u>
1 – 12	\$255,804.95	\$3,069,659.40
13 – 24	\$266,037.15	\$3,192,445.80
25 – 36	\$276,678.63	\$3,320,143.56
37 – 48	\$287,745.78	\$3,452,949.36
49 – 60	\$299,255.61	\$3,591,067.32
61 – 72	\$311,225.83	\$3,734,709.96
73 – 84	\$323,674.87	\$3,884,098.44

Capital Contribution: Landlord will pay \$500,000 towards the cost of Landlord's Work. LAUSD shall pay up to \$2,000,000 for its tenant improvements. Landlord will secure bids and establish a schedule for review by LAUSD.

Landlord's Work: Landlord shall:

- (i) Remove the existing Building B and the Spray Booth,
- (ii) Fill the existing truck well of Building B with a concrete cap to a level grade,
- (iii) Remove the concrete slab foundation under the Spray Booth, and
- (iv) Level and pave the entire lot

Tenant's Work: Upon completion of the Landlord Work, Tenant shall be responsible for:

- (i) Striping the lot, orienting, and arranging the size, configuration, design, layout, and all other aspects of vehicle parking for Tenant's Permitted Use,
- (ii) Installing any electrical wires and cabling to support electric vehicle (EV) charging facilities, and related infrastructure to charge vehicles,
- (iii) Making office improvements, and
- (iv) Installing a portable restroom.

Termination Rights: LAUSD has two termination periods.

- (i) If the Landlord fails to deliver an acceptable work schedule by showing that the Landlord's work will be completed by March 2025, then LAUSD can cancel without a penalty, and
- (ii) If the Landlord fails to deliver the property completed by March 2025, LAUSD may cancel without penalty.

Landlord may cancel the lease if it is determined that the cost of improvements will exceed \$3,500,000.

Members, Board of Education

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Sublease: LAUSD has the right to sublease the property subject to the new tenant having a net worth of at least \$15,000,000 and the proposed use does not violate the zoning.

If you have any questions, please contact Krisztina Tokes, Chief Facilities Executive, at (213) 241-4213 or via email at krisztina.tokes@lausd.net.

Attachment: Tuxford Site Aerial

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TUXFORD SITE AERIAL

